

FREE RESOURCE · AI & FINANCE AUTOMATION

AI Governance Checklist for Finance

15 governance actions for finance teams deploying AI tools — covering data security, output validation, escalation, audit trail, and permitted use. Each item includes a risk rating and a plain-language explanation of why it matters.

15 items	5 sections	Risk rated	Why it matters
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RISK RATING KEY

CRITICAL

Failure creates immediate regulatory, audit, or reputational exposure. Address before deploying AI tools with live financial data.

HIGH

Significant risk if not addressed. Should be in place within 30 days of AI tool deployment in any finance workflow.

MEDIUM

Important for longer-term governance maturity. Address within 90 days of initial deployment.

HOW TO USE THIS CHECKLIST

Work through each section before deploying AI tools in your finance workflows, or use it to audit your current AI governance position. For each item record the status — **In place / In progress / Not started / Not applicable** — along with an owner and a target completion date. Items rated **Critical** should be resolved before any AI tool is used with live financial data.

Quick-Reference Status Tracker

Complete this tracker during your governance review. Print it and bring it to the Finance Director for sign-off. Keep a completed copy on file as evidence of your governance assessment.

#	Governance Item	Risk	Status	Owner	Target Date
1	Confirm whether financial data entered into the AI tool is used to train the model	CRITICAL			
2	Verify that the AI tool does not store financial inputs beyond the session	CRITICAL			
3	Confirm that access to the AI tool is governed by your organisation's identity management system	HIGH			
4	Establish a mandatory human review step before any AI-generated financial content is used in a report	CRITICAL			
5	Define which output types require secondary review (two-person sign-off)	HIGH			
6	Implement a flagging process for AI outputs that contain numerical claims	HIGH			
7	Designate a named AI governance owner for the finance function	HIGH			
8	Define the escalation path when an AI output causes or nearly causes a material error	HIGH			
9	Ensure that AI tool usage in finance workflows is disclosed to the external auditor	HIGH			
10	Maintain a log of AI tool usage in finance reporting workflows	HIGH			
11	Retain the source prompts and AI outputs for any content included in a financial report	MEDIUM			
12	Document which sections of each report were AI-assisted versus fully human-authored	MEDIUM			
13	Maintain an approved list of AI tools permitted for use with financial data	HIGH			
14	Define which types of financial data may and may not be entered into AI tools	CRITICAL			
15	Conduct a minimum annual review of AI tool governance as tools and regulations evolve	MEDIUM			

Status options: *In place* · *In progress* · *Not started* · *Not applicable*

Section 1 — Data Security & Access

Items 1–3

Finance data is among the most sensitive data an organisation holds. Before deploying any AI tool, confirm exactly what data will be processed, where it will be stored, and who can access it.

- 01 ☐ **Confirm whether financial data entered into the AI tool is used to train the model**

CRITICAL

Why it matters: Many AI tools use user inputs to improve their models by default. For finance data — P&L figures, cash positions, cost structures, employee compensation — this means commercially sensitive information may be retained and used by the vendor. Check the tool's data processing terms and opt out of training data use if available.

- 02 ☐ **Verify that the AI tool does not store financial inputs beyond the session**

CRITICAL

Why it matters: Some tools retain conversation history and inputs indefinitely. Confirm the data retention policy: how long inputs are stored, who at the vendor can access stored data, and what the deletion process is. For tools processing board-sensitive or price-sensitive financial information, session-only data processing may be required.

- 03 ☐ **Confirm that access to the AI tool is governed by your organisation's identity management system**

HIGH

Why it matters: AI tools accessed via personal accounts bypass your organisation's access controls. Ensure the tool is provisioned through your corporate identity provider (Azure AD, Okta, or equivalent) so that access is governed, auditable, and revocable when employees leave.

Section 2 — Output Validation

Items 4–6

AI models generate plausible-sounding outputs that can contain factual errors, fabricated figures, or unsupported conclusions. In financial reporting, an unvalidated AI output that reaches a board pack or an investor communication is a material risk.

- 04 ☐ **Establish a mandatory human review step before any AI-generated financial content is used in a report**

CRITICAL

Why it matters: Every AI-generated number, commentary paragraph, or data summary must be reviewed against the source data by a finance professional before it is included in any report, pack, or communication. This step should be documented — a reviewer should be named and the review date recorded. AI output is a first draft, not a final product.

- 05 ☐ **Define which output types require secondary review (two-person sign-off)**

HIGH

Why it matters: High-stakes outputs — board pack commentary, investor narratives, regulatory submissions, covenant compliance statements — should require sign-off by a second reviewer before use. Define this list in advance rather than case by case. The list should be approved by the Finance Director or equivalent.

06 ☐ **Implement a flagging process for AI outputs that contain numerical claims****HIGH**

Why it matters: Any AI output that includes specific financial figures (amounts, percentages, ratios) should be flagged for numerical verification before use. A simple protocol: highlight all numbers in the AI output, trace each to the source data, confirm or correct. Do not rely on the AI's internal consistency — it can produce figures that are internally coherent but factually wrong.

Section 3 — Escalation & Accountability

Items 7–9

When an AI tool produces an output that causes a problem — a material error in a report, a data breach, a compliance failure — it must be immediately clear who is responsible and who has authority to act. Establish this before it is needed.

07 ☐ Designate a named AI governance owner for the finance function

HIGH

Why it matters: There should be one named individual — typically the Finance Director, Head of FP&A, or Finance Controller — who is accountable for AI governance in the finance function. This person approves which tools are permitted, defines the validation protocols, and receives escalations when AI outputs cause problems. Without a named owner, accountability is diffuse and governance breaks down.

08 ☐ Define the escalation path when an AI output causes or nearly causes a material error

HIGH

Why it matters: Before deploying AI tools in finance reporting workflows, document: (1) the trigger criteria for escalation — e.g. an error that reaches a report before review, or one discovered post-distribution; (2) who is notified and in what sequence; (3) the response timeline; and (4) the post-incident review requirement. Near-misses should be captured and reviewed — they are leading indicators of governance gaps.

09 ☐ Ensure that AI tool usage in finance workflows is disclosed to the external auditor

HIGH

Why it matters: If AI tools are used in the preparation of financial statements or the supporting workpapers, this should be disclosed to the external auditor. Auditors are increasingly asking about AI usage in finance processes, and failure to disclose can create audit complications. The disclosure should cover which tools are used, for what purpose, and what human review controls are in place.

Section 4 — Audit Trail & Documentation

Items 10–12

Finance processes are subject to internal and external audit. Any AI tool used in a finance workflow must leave a traceable record of what was produced, when, by whom, and how it was reviewed. If you cannot reconstruct the trail, you cannot demonstrate control.

10 ☐ Maintain a log of AI tool usage in finance reporting workflows

HIGH

Why it matters: For each reporting cycle, record: which AI tools were used, for which tasks, by which team members, and what review process was applied to the outputs. This does not need to be complex — a simple shared log or the review sign-off itself is sufficient. The log should be retained for the same period as the financial records it relates to.

11 ☐ Retain the source prompts and AI outputs for any content included in a financial report

MEDIUM

Why it matters: If an AI-generated commentary paragraph or data summary is included in a board pack, management report, or regulatory submission, retain the prompt that produced it and the original AI output

alongside the final report. This allows reconstruction of how the content was produced and demonstrates that human review was applied. Store in the same location as the final report.

12

☐ Document which sections of each report were AI-assisted versus fully human-authored

MEDIUM

Why it matters: As AI usage in finance reporting grows, it becomes important to distinguish AI-assisted content from fully human-authored content. A simple convention — for example a review note flagging AI-assisted sections — provides the audit trail without creating significant overhead. This is increasingly expected by auditors and, in regulated industries, may become a formal requirement.

Section 5 — Tool Approval & Permitted Use

Items 13–15

Finance professionals are adopting AI tools independently of IT and compliance functions. Without a formal approval process, the finance function may be using tools that violate data protection obligations, breach vendor contracts, or create regulatory exposure — often without knowing it.

13 ☐ **Maintain an approved list of AI tools permitted for use with financial data****HIGH**

Why it matters: Establish a short approved list — ideally three to five tools — that have been assessed for data security, retention policy, and compliance. Finance team members should use only listed tools when working with financial data. Tools not on the list require approval before use. The list should be reviewed and updated at least annually, or whenever a new tool is proposed.

14 ☐ **Define which types of financial data may and may not be entered into AI tools****CRITICAL**

Why it matters: Not all financial data carries the same sensitivity. Define clear categories: (1) data that may be entered freely — anonymised data, aggregated figures, publicly available information; (2) data that may be entered with additional controls — management accounts, budget data; and (3) data that must not be entered into any AI tool — personal employee compensation, price-sensitive information, audit-sensitive workpapers. Publish this as a one-page policy.

15 ☐ **Conduct a minimum annual review of AI tool governance as tools and regulations evolve****MEDIUM**

Why it matters: AI tools, their terms of service, and the regulatory environment are changing rapidly. A governance framework adequate in 2024 may be inadequate in 2026. Schedule an annual review covering: the approved tool list, the data classification policy, the validation protocols, and any new regulatory guidance relevant to AI use in finance — including EU AI Act developments affecting financial services.

About This Resource

This checklist was compiled by **Mirela Dragulescu**, a finance transformation specialist with 9+ years delivering AI adoption programmes, T&E platform implementations, and finance process automation across 10+ European markets. The 15 governance actions reflect the specific risks that arise when AI tools are deployed in finance workflows — not generic AI governance theory, but the failure modes that occur when finance teams adopt tools without adequate data, validation, and accountability controls.

This checklist reflects the regulatory environment as of June 2026. The EU AI Act came into phased effect from 2024, and its implications for AI use in financial services are evolving. Organisations in regulated financial services should supplement this checklist with specific guidance from their compliance function.

Regulatory Context

The EU AI Act (effective August 2024, phased implementation) classifies certain uses of AI in financial services as high-risk — including AI systems used in credit scoring, insurance risk assessment, and financial compliance decisions. Finance teams using AI for automated decisioning (rather than advisory or drafting support) should assess whether their use case falls within the high-risk classification and apply the corresponding conformity requirements. This checklist addresses general AI governance for finance reporting and does not constitute legal or compliance advice.

AI Governance Advisory

Mirela Dragulescu Consulting supports finance teams with AI readiness assessments, governance framework design, and AI adoption programmes across European markets. Tailored governance reviews and training workshops available on request.

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